

25CHCV03320 25CHCV03320

County: los-angeles

Division: Civil Law and Motion

Department: F51

Hearing date: 2026-07-02

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=CHA%2CF51%2C07%2F02%2F2026

Source SHA-256: 8b85fbb50ccd1b597596bd25fc2e9d08d00d671c79902893b2fcf49f525db977

Case Number: 25CHCV03320 Hearing Date: July 2, 2026 Dept: F51

LOS ANGELES SUPERIOR COURT

NORTH VALLEY DISTRICT

DEPARTMENT F-51

JULY 1, 2026

DEMURRER

Los Angeles Superior Court Case

25CHCV03320

¿

Demurrer Filed: 5/21/26

¿

MOVING PARTY: Defendant Hao Tong Lei, aka Elsa Lei ("Defendant")

RESPONDING PARTY: Plaintiff

JMJS LLC ("Plaintiff")

NOTICE: OK

¿

RELIEF REQUESTED: Defendant

demurs to Plaintiff's entire first amended complaint ("FAC").

2

TENTATIVE RULING: The demurrer is sustained with 30 days leave to amend.

BACKGROUND2

This is a fraud action in which Plaintiff, who operates an adult day care center, alleges that on 5/22/22, it hired Defendant to work as a speech therapist. (FAC ¶¶ 6, 8.) Plaintiff alleges it was required to provide personnel records for all staff to the California Department of Aging ("CDA") as part of Plaintiff's Initial Certification survey, including a TB clearance completed within the last year. (Id. at ¶ 9.) Plaintiff alleges that on 7/20/23, it requested that Defendant provide her updated TB clearance, which she did. (Id. at ¶ 12.) Plaintiff alleges that on 8/24/23, "Plaintiff received a denial letter from the CDA, informing that the CDA determined that Plaintiff would not be eligible to participate in the CBAS Medi-Cal Program" because it discovered that Defendant falsified her TB test result, which she later admitted to. (Id. at ¶¶ 13–16.) "On October 17, 2023, Plaintiff appealed the decision of denial made by the CDA. On or about November 22, 2023, the Department of Health Care Services, Office of Administrative Hearings and Appeals, denied the appeal." (Id. at ¶ 15.)

On 9/16/25, Plaintiff filed its original complaint, alleging against Defendant the following causes of action: (1) Fraud; (2) Negligent Misrepresentation; and (3) Breach of Fiduciary Duties. On 4/20/25, Plaintiff filed its operative FAC, alleging against Defendant the following causes of action: (1) Deceit; (2) Breach of Contract; and (3) Breach of Duty of Loyalty.

On 5/21/26, Defendant filed the instant demurrer. On 6/18/26, Plaintiff filed its opposition. On 6/25/26, Defendant filed her reply.

ANALYSIS

As a general matter, a party may respond to a pleading against it by demurrer on the basis of any single or combination of eight enumerated grounds, including that “the pleading does not state facts sufficient to constitute a cause of action” and is uncertain, meaning “ambiguous and unintelligible.” (Code Civ. Proc., § 430.10, subds. (e) and (f).) In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.)

“A demurrer tests the pleading alone, and not the evidence or facts alleged.” (E-Fab, Inc. v. Accountants, Inc. Servs. (2007) 153 Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the complaint’s properly pleaded or implied factual allegations. (Ibid.) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.)

Here, Defendant demurs to Plaintiff’s entire complaint on the basis that it fails to allege facts sufficient to state any of the causes of action therein, rendering the complaint fatally uncertain.

A.

Meet-and-Confer

Before filing its demurrer, “the demurring party shall meet and confer in person or by telephone with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer.” (Code Civ. Proc. § 430.41, subd. (a).) The demurring party must file and serve a meet and confer declaration stating either: “(A) The means by which the demurring party met and conferred with the party who filed the pleading subject to demurrer, and that the parties did not reach an agreement resolving the objections raised in the demurrer;” or “(B) That the party who filed the pleading subject to demurrer failed to respond to the meet and confer request of the demurring party or otherwise failed to meet and confer in good faith.” (Id. at subd. (a)(3).)

Here, Defendant’s counsel declares that on 5/6/26, he and Plaintiff’s counsel met and conferred telephonically regarding the issues

discussed in the instant demurrer, but could not informally resolve the issues. (Decl. of Daniel L. Reback ¶ 2.) Based on the foregoing, the Court finds that counsel has satisfied the preliminary meet and confer requirements under Code of Civil Procedure section 430.41, subdivision (a).

B.

Deceit

Plaintiff's first cause of action

alleges Deceit against Defendant. "One who willfully deceives another with intent to induce him to alter his position to his injury or risk, is liable for any damage which he thereby suffers." (Civ. Code § 1709.) The elements that must be pleaded in a cause of action for fraud/deceit are: (1) a misrepresentation (false representation, concealment or nondisclosure); (2) knowledge of its falsity (or "scienter"); (3) intent to defraud (i.e., to induce reliance); (4) justifiable reliance; and (5) resulting damage. (Philipson & Simon v. Gulsvig (2007) 154 Cal.App.4th 347, 363.) Fairness requires that allegations of fraud be pled "with particularity" so that the court can weed out nonmeritorious actions before a defendant is required to answer. (Small v. Fritz Companies, Inc. (2003) 30 Cal.4th 167, 184.) The particularity requirement necessitates pleading facts that "show how, when, where, to whom, and by what means the representations were tendered." (Lazar v. Superior Court (1996) 12 Cal.4th 631, 645.)

Here, Defendant argues that "the FAC is deficient in several critical respects. It does not identify specifically what portion of the document was altered, how the alteration was made, or how the altered document differed from an authentic TB clearance. The FAC does not identify which pf [sic] Plaintiff's individuals received the allegedly falsified document, in what capacity, or with what authority over the regulatory submission process." (Dem. 5:21–25.) Defendant argues that "the mere act of providing a document, without an accompanying affirmative representation as to its truth or accuracy, does not satisfy the misrepresentation element of a deceit claim." (Id. at 5:28–6:2, citing Engalla v. Permanente Medical Group, Inc. (1997) 15 Cal.4th 951, 974.)

In opposition, Plaintiff cites to

Civil Code section 1572, which states that "Actual fraud, within the meaning of this Chapter, consists in any of the following acts, committed by a party to the contract, or with his connivance, with intent to deceive another party thereto, or to induce him to enter into the contract: 1. The suggestion,

as a fact, of that which is not true, by one who does not believe it to be true; 2. The positive assertion, in a manner not warranted by the information of the person making it, of that which is not true, though he believes it to be true; 3. The suppression of that which is true, by one having knowledge or belief of the fact; 4. A promise made without any intention of performing it; or, 5. Any other act fitted to deceive.” (Civ. Code § 1572.) Plaintiff argues that “altering a 2018 test result and submitting it as a 2022 test result was a deliberate act of deceit. In submitting the altered test result, Defendant was impliedly making the false representation that the document reflected an accurate 2022 test result.” (Id. at 5:11–13.) Plaintiff maintains that its first cause of action was adequately pled under Civil Code section 1572 because “One, Defendant deliberately made the suggestion, as a fact, that the tuberculosis results produced in July 2023 were true and accurate. Two, Defendant deliberately suppressed the fact that the test results were altered. And three, the act of submitting the false test results was an ‘act fitted to deceive’.” (Id. at 4:4–7.)

In reply, Defendant argues that “the Opposition does not, because it cannot, identify where in the FAC Plaintiff has pled to which individual at Plaintiff JMJS LLC the false document was delivered, which person received and relied on it, what that person’s authority over the certification submission was, or why reliance on an employee-provided HR document submitted to a state regulatory agency was justifiable without independent verification.” (Def.’s Reply 2:5–9.) The Court agrees and finds that Plaintiff has not alleged the subject misrepresentation with the requisite specificity. The Court notes Defendant’s arguments against the remaining elements of intent, justifiable reliance, causation, and damages, but declines to consider them as they improperly argue the merits of the facts alleged.

Based on the foregoing, the Court finds that Plaintiff has failed to allege facts sufficient to constitute a cause of action for Deceit. Accordingly, the demurrer is sustained as to Plaintiff’s first cause of action.

C.

Breach of Contract

Plaintiff’s second cause of action alleges Breach of Contract against Defendant. To state a cause of action for breach of contract, a plaintiff must be able to establish

“(1) the existence of the contract, (2) plaintiff’s performance or excuse for nonperformance, (3) defendant’s breach, and (4) the resulting damages to the plaintiff.” (Oasis West Realty, LLC v. Goldman (2011) 51 Cal.4th 811, 821.) A written contract may be pleaded either verbatim or generally “according to its legal intendment and effect.” (Construction Protective Services, Inc. v. TIG Specialty Ins. Co. (2002) 29 Cal.4th 189, 198–199.)

Here, Plaintiff alleges that on 5/22/22, the parties “entered into an employment contract within the meaning of Labor Code Section 2750, which states: ‘The contract of employment is a contract by which one, who is called the employer, engages another, who is called the employee, to do something for the benefit of the employer or a third person.’” (FAC ¶ 25.) “Implied in the contract to hire LEI was LEI’s agreement to act honestly and competently in the performance of her duties.” (Id. at ¶ 26.)

Defendant argues that “the conclusory allegation that Lei was ‘hired’, supported only by a recitation of the statutory definition of employment, fails to establish the specific terms, obligations, or conditions of any employment contract upon which a breach claim can be predicated.” (Dem. 8:26–9:1, citing Otworth v. Southern Pac. Transportation Co. (1985) 166 Cal.App.3d 452, 459 [Employee’s “complaint makes no mention of whether the contract is written or oral, sets forth none of the alleged contract’s terms, and includes no assertion that [he] has either performed the contract or is excused from performing.”].) Defendant further argues that “even assuming an employment contract existed, the FAC identifies no specific contractual term that Lei allegedly breached.” (Id. at 9:13–14.) “Where, as here, the alleged ‘breach’ is simply a re-pleading of the same fraudulent conduct alleged in the First Cause of Action, the breach of contract claim is duplicative and fails to state an independent cause of action.” (Id. at 10:1–4.)

In opposition, Plaintiff asserts that “Defendant cannot reasonably argue that she was not under an obligation to act truthfully and honestly in her dealing with the Plaintiff, and in the duties she performed on behalf of the Plaintiff. That was part of the employment contract.” (Pl.’s Opp. 6:18–20.) Plaintiff argues that “submitting accurate and truthful tuberculosis test results was an act Plaintiff had a right to demand, and Defendant was obligated to perform this act, under her employment contract with the Plaintiff.” (Id.

at 6:25–27.)

In reply, Defendant maintains that “the FAC does not identify whether the alleged employment agreement was written or oral, state any of its material terms, identify the duration or scope of employment, allege any consideration beyond the bare employment relationship, or attach or incorporate any contract.” (Def.’s Reply 3:20–23.) The Court agrees, and further notes that “Plaintiff points to no specific term of the employment contract that was breached.” (Id. at 4:1.)

Based on the foregoing, the Court finds that Plaintiff has failed to allege facts sufficient to constitute a cause of action for Breach of Contract. Accordingly, the demurrer is sustained as to Plaintiff’s second cause of action.

D.

Breach of Duty of Loyalty

Plaintiff’s

third cause of action alleges Breach of Duty of Loyalty against Defendant. “The elements of a cause of action for breach of a duty of loyalty, by analogy to a claim for breach of fiduciary duty, are as follows: (1) the existence of a relationship giving rise to a duty of loyalty; (2) one or more breaches of that duty; and (3) damage proximately caused by that breach.” (Huong Que, Inc. v. Luu (2007) 150 Cal.App.4th 400, 410.)

Here,

Defendant argues that to the extent that Plaintiff alleges that Defendant’s duty of loyalty arises from the parties’ agent-principal relationship, Plaintiff “does not allege that Lei was authorized to act on Plaintiff’s behalf in any capacity, that she had authority to bind Plaintiff, that she exercised discretionary authority over Plaintiff’s affairs, or that Plaintiff delegated to her any managerial, compliance, or regulatory responsibilities.” (Dem. 12:9–12.) Defendant maintains that “TB clearance is a personal compliance obligation imposed on Lei as an individual employee, not a managerial or representative function performed on Plaintiff’s behalf. She did not provide her TB clearance as Plaintiff’s agent acting for Plaintiff’s benefit but rather provided it because she was purportedly required to do so as a condition of her own employment.” (Id. at 13:10–13.)

In

opposition, Plaintiff appears to rely on *Huong Que* to argue that Defendant is “liable for breach of the duty of loyalty committed when Defendant submitted a false tuberculosis test result to her employer, the Plaintiff.” (Pl.’s Opp. 7:19–20, citing 150 Cal.App.4th 400.) However, as Defendant argues in reply, “importing the principal-agent duty of loyalty from *Huong Que* into an ordinary clinical employment relationship requires a factual predicate — an agency relationship — that the FAC does not and cannot plead given its own characterization of Lei’s role.” (Def.’s Reply 4:26–5:1, citing 150 Cal.App.4th at 410–411 [“Agency is the fiduciary relationship that arises when one person (a ‘principal’) manifests assent to another person (an ‘agent’) that the agent shall act on the principal’s behalf and subject to the principal’s control, and the agent manifests assent or otherwise consents so to act.”].)

The Court

agrees with Defendant that “because the FAC fails to plead facts establishing a principal-agent relationship, a duty of loyalty connected to that relationship, a breach independent of the deceit claim, and proximate causation of damages, the third cause of action fails as a matter of law.” (Dem. 14:17–19.) Based on the foregoing, the Court finds that Plaintiff has failed to allege facts sufficient to constitute a cause of action for Breach of Duty of Loyalty. Accordingly, the demurrer is sustained as to Plaintiff’s third cause of action.

//

//

//

E. Leave

to Amend

Where a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (*Goodman v. Kennedy* (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (*Id.*; *Lewis v. YouTube, LLC* (2015) 244 Cal.App.4th 118, 226.) However, “[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend.” (*Youngman v. Nevada Irrigation Dist.* (1969) 70

Cal.2d 240, 245).

Here, the Court notes that this is the first demurrer heard against Plaintiff's operative complaint. Therefore, based on the Court's liberal policy on granting leave to amend, the Court grants Plaintiff 30 days leave to amend to cure the defects set forth above.

CONCLUSION

The demurrer is sustained with 30 days leave to amend.